

industry. He doesn't mention it, but gold mining is another that is notorious for poor returns on capital.

But there are also industries that are pretty good. Communications equipment is one. Within these industries, though, you have winners and losers. As Mauboussin observes,

The central observation is that even the best industries include companies that destroy value and the worst industries have companies that create value. That some companies buck the economics of their industry provides insight into the potential sources of economic performance. Industry is not destiny.

This is useful to know because some investors will avoid industries entirely — like airlines — that have been bad for investors. But there are many ways to make money within the airline industry.

Mauboussin suggests creating an industry map. This details all the players that touch an industry. For airlines this would include aircraft lessors (such as Air Lease), manufacturers (Boeing), parts suppliers (B/E Aerospace) and more. This is beyond the scope of what an individual investor would do, but even though you aren't likely to make your own industry map, it's a useful mental model.

What Mauboussin aims to do is show where the profit in an industry winds up. These profit pools can guide you on where you might focus your energies. For example, aircraft lessors make good returns; travel agents and freight forwarders make even-better returns.

Mauboussin's industry analysis also shows that industry stability is another factor in determining the durability of a moat. "Generally speaking," he writes, "stable industries are more conducive to sustainable value creation. Unstable industries present substantial competitive challenges and opportunities."

The beverage industry is a stable industry. Trends there unfold slowly over time. Sodas don't get disintermediated by the Internet. Smartphones, by contrast, constitute a very unstable market. BlackBerry smartphones went from market leader to also-ran status in a few years. Since 100-baggers need time to ripen, Mauboussin's research indicates you may be better served in industries less